

Improving Workforce Retention and Productivity at Huaxia Communications

Prepared by Pacific Insights Analytics (PIA) – Consulting Report

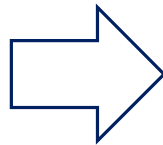
Project Huaxia – improve retention and boost productivity

Project Objective

Huaxia Communications – Call Center

Challenges

- Rising **staff attrition**
- Difficulties in retaining **top talent**



Goal

- Address these Challenges
- Formulate action **recommendations**

Database

Historical Workforce Data from Call Center



- **Surveys**
 - Volunteer

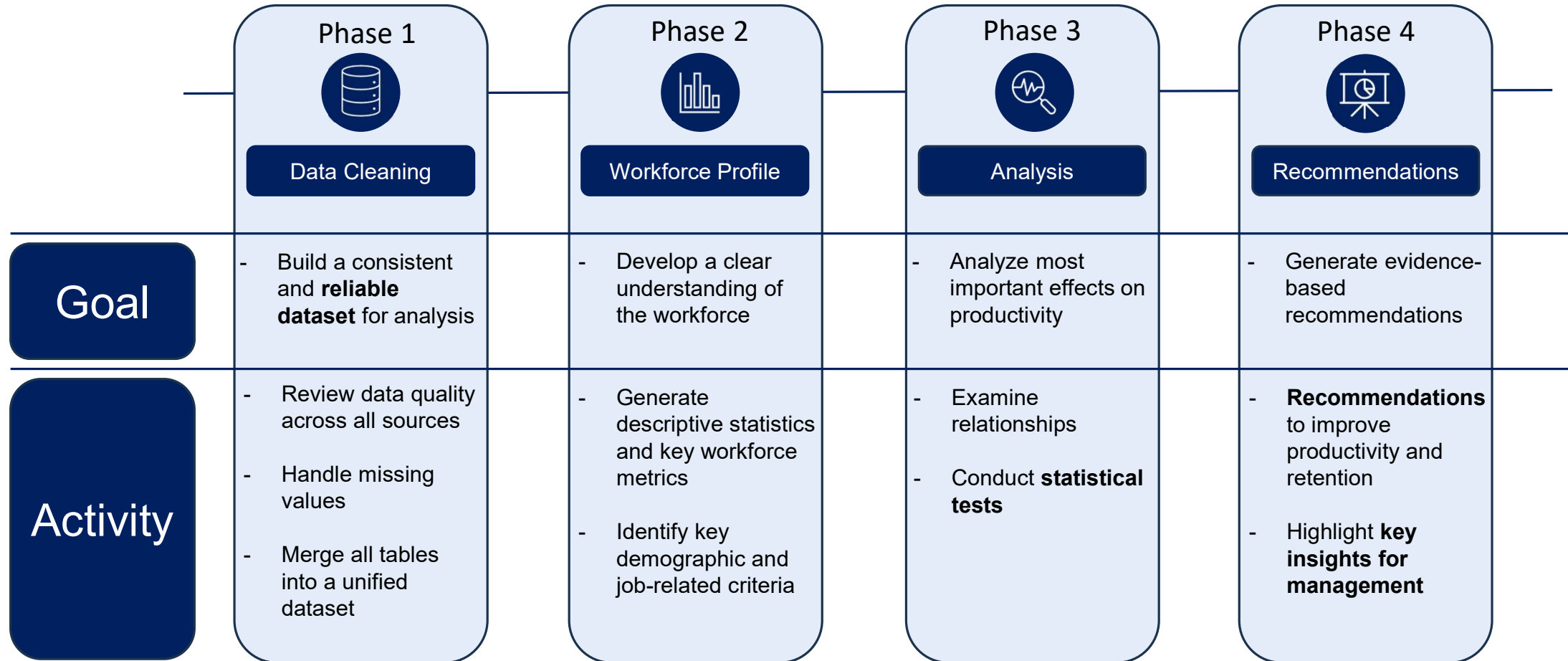


- **HR Records**
 - Attitude
 - Wage
 - Endperiod



- **Productivity Logs**
 - Performance

Project Huaxia – improve retention and boost productivity



Workforce Profile

Profile

Workers

135
thereof 95 stayed

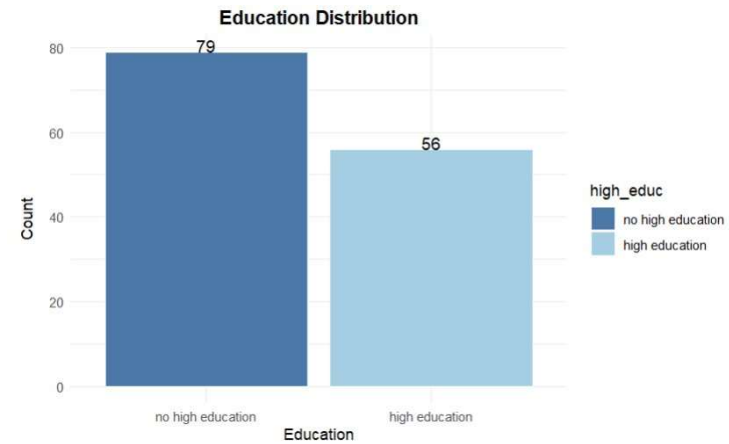
Age

Average
23 Years old

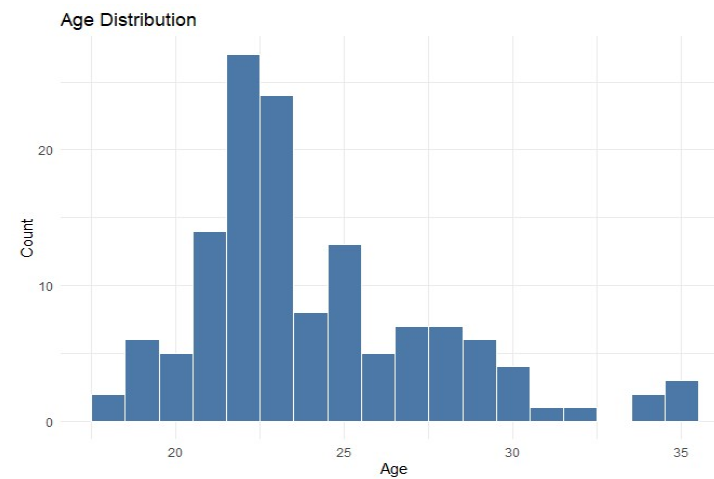
Gender

68 Male
67 Female

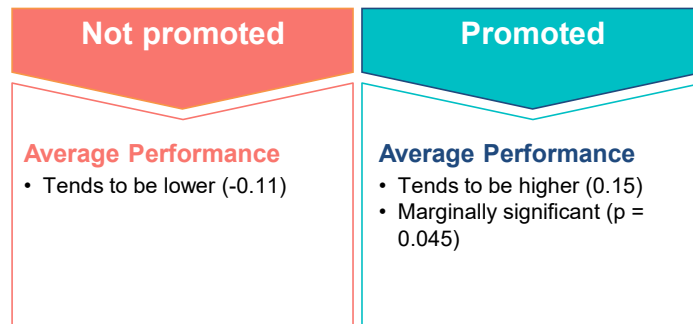
Education



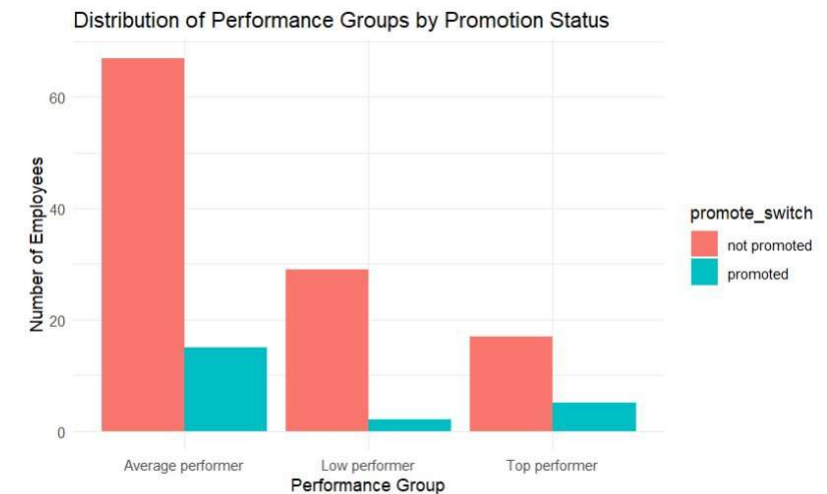
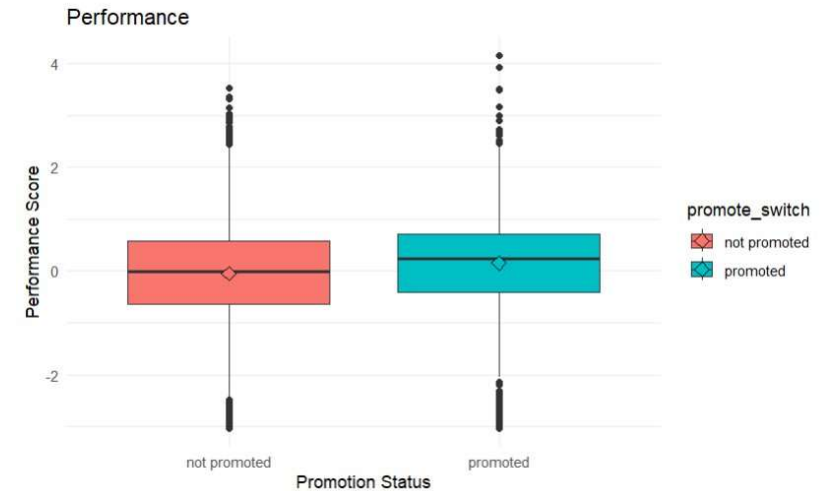
Age



Employees with higher performance are more likely to be promoted



- However, there are still a lot of top performers who didn't get promoted even though they have **higher performance scores** on average.
- There are too many **average performers** that got promoted



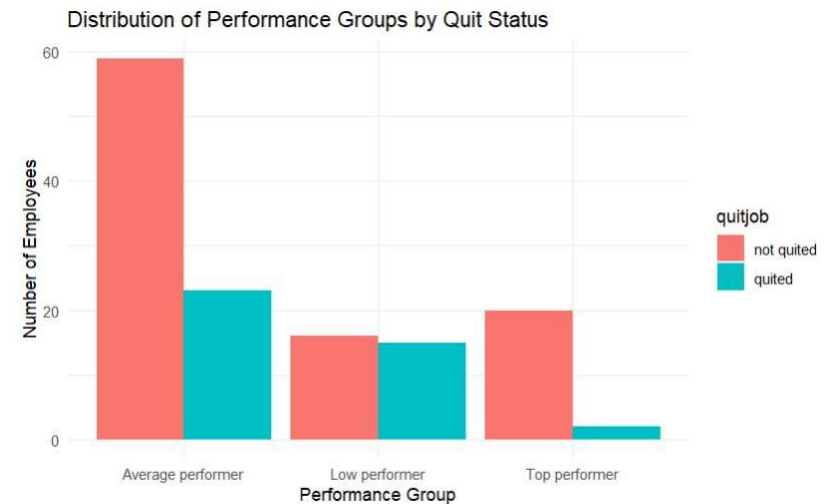
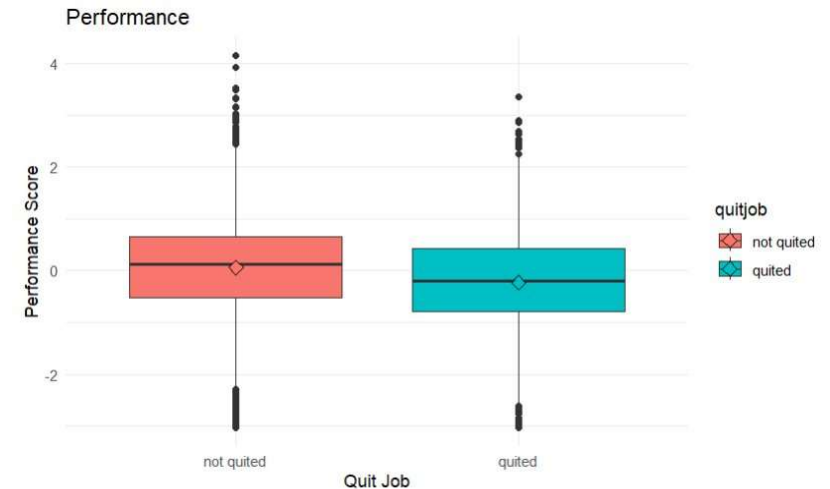
Top performer ≥ 0.5 , Low performer ≤ -0.5 , Average Performer $-0.5 \leq 0.5$

Most low and average performers left, suggesting retention issues mainly among mid-performers

- Overall, employees who left showed **slightly lower performance** on average
- Create groups to get deeper insights into the performance:
 - Top Performer ≥ 0.5
 - Average Performer $-0.5 \leq 0.5$
 - Low Performer ≤ -0.5



- Most leavers** were **low** or **average performers**; few top performers quit.
- Some **top performers** still left, likely due to limited advancement opportunities or competitive offers.



Top performer ≥ 0.5 , Low performer ≤ -0.5 , Average Performer $-0.5 \leq 0.5$

People who work from home are more productive

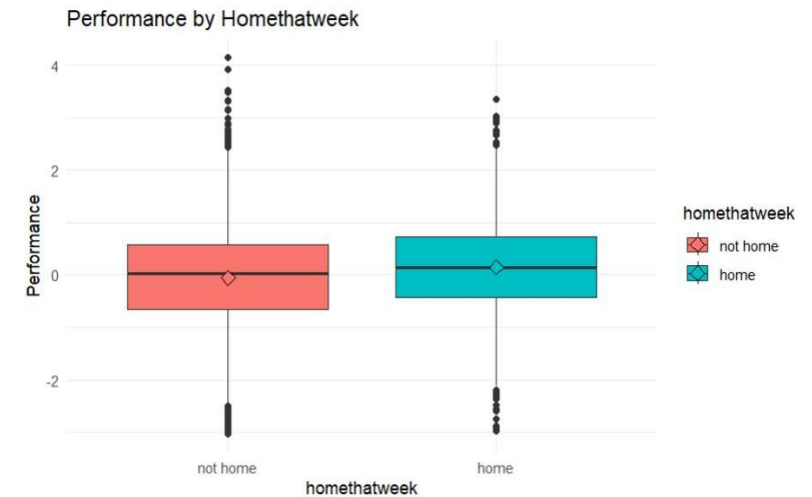
Why?

- Working from home may minimize workplace distractions and interruptions
- Allows employees to concentrate more effectively on their tasks



Key Figures

- Average performance of 0.15 in home weeks vs. -0.06 in office weeks
- The difference is statistically significant ($p < 0.001$)



Performance is closely tied to call volume, and employees make more calls when working from home

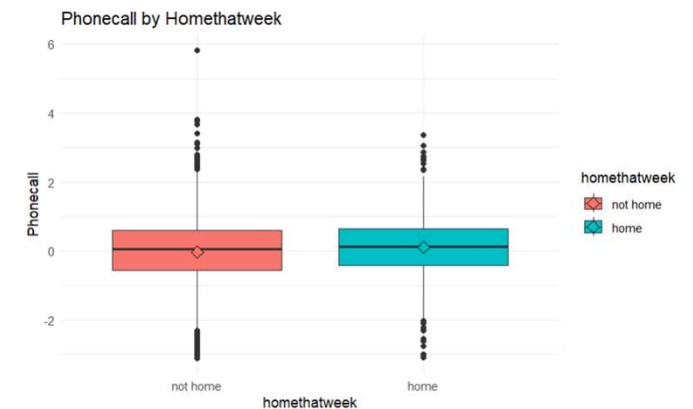
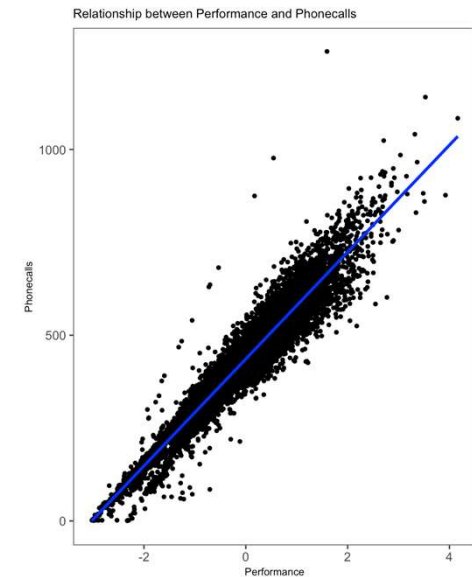
Call Volume Determines Performance:

- Performance and call volume are almost perfectly correlated ($r = 0.95$)
- The performance score is largely based on calls, so call volume is the main lever



Remote Work Increases Output:

- Employees make significantly more calls in weeks worked from home ($p < 0.001$)
- Working remotely may offer fewer distractions and better focus on call targets



Bonuses rise with performance, while wages do not reflect it



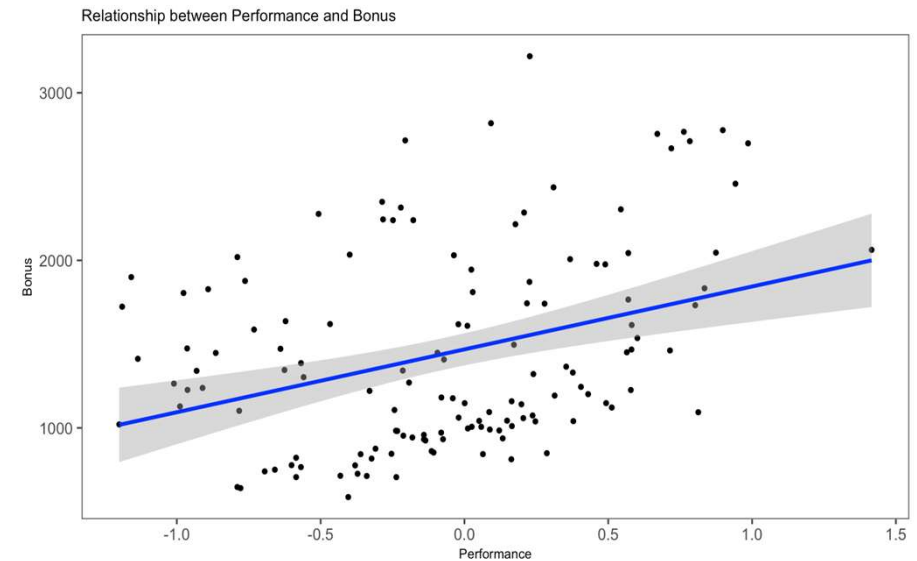
Gross Wage
No correlation ($r = 0.01$)



Performance-Based Bonuses
Weak positive correlation ($r = 0.25$)

Key Takeaway

- Bonuses reward performance, base pay does not reflect it. Linking pay more closely to measurable KPIs could strengthen incentives and help retain top performers.



Education has no measurable impact on performance

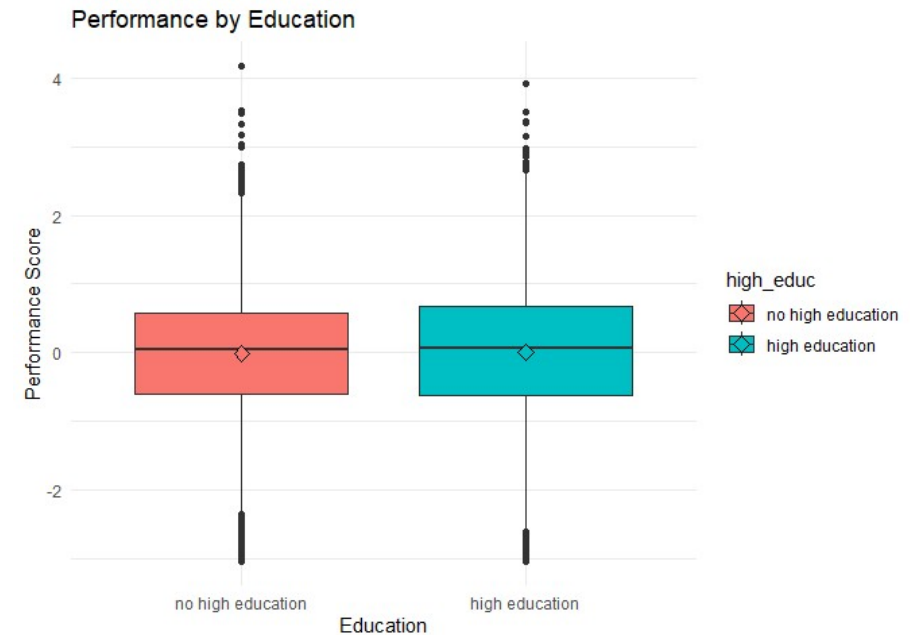
Analysis indicates no significant difference in performance between employees with and without higher education:

- Average performance is nearly identical for both groups ($p = 0.89$).



Strategic Implication:

- Hiring and promotion decisions can focus on practical skills and on-the-job training rather than formal education.



Recommendation to increase performance and retain talent

Promotion Recommendations

- Base promotions on performance, focusing on average and top performers and use clear performance metrics as criteria;
- Retain top talent through clearer promotion paths and more competitive offers;
- Keep training standards high, not focus on education.

Motivation Recommendations

- Recognition event to foster collaboration and the feeling of belonging within the company;
- Conduct weekly meetings to understand employee's motivation to be able to act in case they are unhappy.

Financial Recommendations

- Link bonuses directly to measurable KPIs;
- Emphasis on merit-based rewards, ensuring that employee compensation is directly tied to performance, effort, and results.

Home Office Recommendations

- Maintain a flexible hybrid work model to support both remote and office-based work;
- Provide essential tools and support to enable high remote performance.

Conclusion

- In conclusion, Huaxia Communications should implement a series of targeted improvements in key areas such as employee motivation, productivity, and attrition management.
- By focusing on these dimensions, the company can foster a more engaging and supportive work environment that encourages employees to perform at their best and remain committed to the organization.



- Enhancing motivation through recognition programs, career development opportunities, and fair reward systems will help employees feel valued and aligned with the company's goals
- Likewise, optimizing productivity by investing in better training and flexible workplace tools will ensure that operations run efficiently and effectively